

THE DEVIL'S ADVOCATE REPORT COMPENDIUM

July 2009

Featured Companies:

Direxion Daily Small Cap Bear 3x Shares (TZA)
Direxion Daily Small Cap Bull 3x Shares (TNA)
iShares Russell 2000 Index (IWM)
Direxion Daily Emerging Markets Bull 3x Shares (EDC)
iShares MSCI Emerging Markets Index Fund (EEM)
Direxion Daily Financial Bull 3x Shares (FAS)
iShares Dow Jones US Financial Sector (IYF)
VIX

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Murray's Musings

The Opportunity Cost of Negative Bubbles

There are two kinds of bubbles: one positive and one negative. A positive bubble is well-documented and well-studied in history, and involves an excess of confidence in a favorable economic outcome. It's well-studied in books that include *The Great Crash* by John Kenneth Galbraith, *Only Yesterday* by Frederick Lewis Allen, or even the initial chapters of *Extraordinary Popular Delusions and the Madness of Crowds* by Charles MacKay. The negative bubble is the reverse, or a dearth of confidence in a favorable outcome. It is marked by confidence in a negative outcome, making it a negative act, and it occurs more frequently than the positive bubble.

An example of a negative bubble is the period in American history shortly after the Second World War when stocks yielded much more than bonds. It was generally believed by professional investors that demobilization of the armed forces in the wake of the war would lead to a resumption of the economic depression that preceded the war. This negative view was so pervasive that as late as 1953, when the Dow Jones Industrial Average reached its 1929 high of 280, the Senate Finance Committee conducted hearings on the state of the stock market.

It was believed that the proximate cause of the calamity following 1929 was an over-inflated stock market. Therefore, when the Dow reached the pre-crash level of 280 in 1953, it was feared that the market was poised for another crash. It may be difficult to imagine the Finance Committee of the United States Senate holding hearings because the stock market reached a high that had been reached 25 years before; however, today we have Senate Finance Committee hearings, because the stock market has reached a low. Thus, it appears that when the stock market reaches a high, a hearing is in order, and when the stock market reaches a low, a hearing is in order as well.

The negative bubble is much more serious and difficult to study than the positive bubble, because the losses that occur in a negative bubble are opportunity cost losses. In the wake of a positive bubble, a stock market crash can cause losses that well exceed 50%, as was recently experienced. Those losses pale, however, when compared with the opportunity cost losses in a negative bubble when the stock market may rise several fold, but assets are kept sub-optimally invested in low-return vehicles. The negative bubble is much more difficult to study, because it's very difficult to document opportunity cost losses. Therefore, an opportunity cost loss, which is real in the sense that an economy operates at a sub-optimal level, is an abstraction in the sense that there are no documents that can be studied with clarity to indicate the extent of a negative bubble loss.

Another example of a negative bubble occurred in the months following August 1914 when the New York Stock Exchange closed for a lengthy period of time in the belief that the European conflict would lead to an economic depression in the United States. It was a reasonable but, nevertheless, incorrect belief because, in fact, the European conflict

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established America as a major industrial power. There are many books on bubbles, such as those written on the South Sea Bubble that occurred in the early 18th Century in Britain. It's worthwhile noting, however, that shortly thereafter Britain became the world's preeminent economy. Clearly, investors were influenced by the South Sea Bubble, which made them reluctant to deploy capital at risk, and led to the opportunity cost losses of the negative bubble that came after it. Unfortunately, there's nothing to study; there are no scholarly works on those opportunity cost losses.

During the course of deflation in the aftermath of a positive bubble, the capital market ceases to function. The primary mission of the capital market is to agglomerate savings to be used for some reasonable economic purpose. When the capital market stops functioning, savings would no longer be agglomerated. Though savings would still exist, economic activity would usually diminish. A meaningful sign of recovery is a revival of vigor in capital markets, which is evident in the recently reinvigorated world IPO market of the last 90 days.

An enormous quantity of money has been raised in IPOs, and it's very unusual that such a quantity of money could be raised in the course of 90 days, but so it is. I'll mention a mere handful of companies that are either scheduled to become public in the not too distant future or that have raised money.

In China, after a multiple year hiatus of IPOs that was orchestrated by the government to lessen the consequences of an obviously overheated economy, in several days we will see the IPO of Duoyuan Global Water, Chemspec International, which is a chemical company, and Guilin Sangin Pharmaceutical. Interestingly enough, also in the context of the Chinese market but in Hong Kong, AIG Asia will, if successful, make a public offering. This, of course, is the carve-out from AIG.

In the United States, there is a scheduled IPO for a company called Log Mein that engages in small business connectivity. Another interesting IPO is of a company called Cyprus Sharpridge Investments, which is being formed to invest entirely in residential mortgages. It appears to have raised \$100 million. A carve-out from Starwood Hotels is raising another \$500 million to invest in mortgages. The company known as Stone Energy recently completed a secondary offering. Visa Brazil is scheduled to engage in a public offering, raising \$3.6 billion, if these figures are credible. The other Brazilian credit card company known as Redecard, which is a carve-out from Citigroup, raised \$917 million in an IPO in Brazil in March.

In the month of May, there were several secondary offerings. Prudential raised \$2.4 billion in both stock and bond offerings. Wells Fargo raised \$8.6 billion. The Italian National Gas Company raised \$4.7 billion. Morgan Stanley raised \$4.6 billion. US Bancorp raised \$2.8 billion. State Street raised \$2.3 billion. Excluding \$13.5 billion equity issuance of the Bank of America, US equity issuance in the month of May was a record \$49 billion, an amount unsurpassed in its lengthy IPO history.

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Other equity offerings include Open Table, which is a restaurant reservation system that came public in what was apparently a successful IPO. Interestingly enough, China Mobile, which is China's preeminent cellular company, is listed in Hong Kong and New York, but is not yet listed on the Shanghai Stock Exchange. It appears that it soon will be listed on that exchange making it available to Chinese investors. The Chinese government appears confident that issuance of shares on the Shanghai Stock Exchange by a company as large as China Mobile will not otherwise disturb the Chinese equity market.

Dow Chemical raised \$2.25 billion. Capital One, the credit card company, though it's frequently cited as the next shoe to drop in the credit crisis, was able to raise \$1.6 billion in a secondary offering. An entirely economically sensitive company called China Metal Recycling (773 HK) raised 200 million Hong Kong dollars some number of days ago.

Obviously, the IPO market is vigorous. This list is not comprehensive; it is merely a selection of the offerings that have occurred during the course of that last 12 weeks. Much more is scheduled on the calendar. Most of this money will be deployed either in actual projects, or to deleverage balance sheets. When balance sheets are deleveraged, it's not merely a passive act of balance sheet restructuring. It means that a properly financed company can yet again access the capital markets, the debt markets and its own cash flow for investment purposes, as opposed to merely servicing the existing debt. It's clearly a sign of vigor, but is unremarked upon by equity analysts. It merits further study.

Industry Thoughts

Publicly Traded ETF Companies

Yet again, I'm creating an industry. This one consists of the publicly traded ETF companies. The ETF industry has flourished to the degree that it can now be said that there are, so to speak, three publicly traded ETF companies, though they are not pure ETF companies. BlackRock, which is already very large in the ETF space, is purchasing iShares from Barclay's. This acquisition will add over a trillion dollars to BlackRock's asset base, and a major portion of its profitability will flow from exchange traded funds. Some years ago, Invesco, an active manager, purchased PowerShares, which is a leading ETF company, though not the leading company. As a result, Invesco can be categorized as an ETF company, to a degree. State Street, the owner of the StreetTRACKS Series and the orchestrator of the S&P SPDRs among others, can be said to be an ETF company as well.

The two largest companies in the world of ETFs have lost modest market share in the past year through the entry of so many new ETF companies. Though they have lost market share, it does not appear these companies have lost any business. The businesses are as robust as they ever were. Based on those recent statistics, iShares appears to retain a 47% share of the U.S. ETF market, and State Street appears to retain a 30% share. The

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attention of the public is definitely being turned toward the higher-fee ETFs, which should gradually increase the profitability of those ETF businesses.

The ever-popular S&P SPDR Index, for example, manifested a slight outflow of \$146 million in the month of May 2009¹. The iShares FTSE Xinhua China Index, the so-called China 25, experienced a billion dollar inflow in the month of May. The iShares MSCI Brazil experienced a \$1.5 billion inflow, which is considerable given the size of the Brazilian marketplace. The iShares MSCI-Emerging Markets exhibited a \$1 billion inflow.

This data is important for two reasons. First, it's likely to increase ETF profitability, because the fee structure on the more unusual products is usually higher than the fee structure on the more conventional products. Since the business is entirely electronic, the operating margin rises accordingly if these trends remain in place. Second, the public is investing outside the United States in a way that is very uncharacteristic of the world distribution of country weights. Using the iShares MSCI-EAFE Index as an example, one can see in Table 1 that Japan has over a 24% market capitalization weight; the United Kingdom has a 20.5% market capitalization weight; France has a 10.2% market capitalization weight, and so on. I have listed the top ten here.

Table 1: EAFE Index Country Weights

1.	Japan	24.16%
2.	United Kingdom	20.51%
3.	France	10.23%
4.	Switzerland	8.14%
5.	Germany	8.00%
6.	Australia	6.87%
7.	Spain	4.31%
8.	Italy	3.36%
9.	Netherlands	2.75%
10.	Hong Kong	2.24%

Brazil, Russia, China and India are not present as factors in global indexation. It's obvious from the size of their economies that one day they will be. It appears that there's public demand, and there's also a response on the part of companies in the IPO market to supply the raw material, which is very important. We will witness shortly the IPO of Visa Brazil, and the emergence of China Mobile as an investment for Chinese nationals, which was previously unavailable. One of the impediments to creating genuine GDP weighted international indices was the lack of investible equity market capitalization in many of the large GDP weights. That situation was the only impediment, and it is being remedied.

Two events are going to happen. First is the likelihood of an increase in the profitability of ETF companies, because they're offering an inherently higher margin product.

¹ See Appendix A for table of data on ETFs with assets of \$1 billion or greater in May 2009.

Source: <http://www.nsx.com/content/etf-product-list>

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Second, and greater in its consequence, will be a much broader re-weighting of international equity investment capital. Ultimately, there will need to be a new international benchmark to replace the EAFE (Europe, Australia and Far East) Index that assigns appropriate GDP weights to China, Russia, India and Brazil. When that happens, it will have major consequences for the valuations of the companies that at the moment dominate the EAFE Index.

Of course, one way to benefit from this change is to buy ETF companies, because they are really agnostics, as far as the weights are concerned (though they're not quite agnostics, because they modestly benefit from a recalculation of the weights towards the large GDP nations; i.e. they will have higher margins). It's an industry group that needs to be studied. It's considered to be only a very small subset of the financial group, but it's a key subset. It also happens to be a bona fide croupier, since the companies themselves don't risk their capital; they merely facilitate capital risk-based activities by others.

FINRA Regulatory Notice 09-31: Non-Traditional ETFs

Before discussing the short sale recommendations, attention needs to be called to a recent FINRA Regulatory Notice for June of 2009. A sentence from page 4 of the notice is quoted here, and I believe it is self-explanatory. For those who care to read it, the entire FINRA notice is included at the end of this report.

An advertisement for a leveraged or inverse ETF that is designed to achieve its investment objective on a daily basis may not omit the fact and must specifically disclose that the fund is not designed to, and will not necessarily, track the underlying index or benchmark over a long period of time.

Basically, reference is being made to the fact that the leveraged ETFs have a tendency to decline over time, whether they represent the bull case or the bear case. As a matter of fact, in 2008 the significant decline of the indices tracked by specific leveraged, or inverse, ETFs should have caused those ETFs to prosper mightily over time, but they declined. This fact has not escaped the notice of the regulators.²

One of the reasons for this outcome is that the inverse, or leveraged, ETFs are created and operated using the constant dollar exposure method of shorting, which involves having maximal exposure at the bottom of an index decline. Of course, it is more readily conceivable that some of the companies in the index would decline to zero than that the index itself would decline to zero. In the final phase of the decline, exposure is raised to a certain short position and measured in terms of effective shares. There are more shares being shorted at lower prices than there are at higher prices and the index fails to track over time.

There are other reasons why the index fails to track. The swap market is used to create these exposures; it is essentially used every day to reestablish the new daily required

² This topic was discussed at length in *The Global Contrarian Compendium* March 2009, *Musings*.

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hedge ratio. The swap market has a certain contango attached to it. One is always paying a contango and, therefore, returns are diminished insidiously each and every day. It probably is less important in the short-run, though not unimportant as a long-run feature of leveraged, or inverse, ETFs.

This FINRA regulatory notice has certainly not escaped the attention of the various ETF companies, and they are responding. One might imagine that they would respond by de-emphasizing the leveraged, or inverse, ETFs as a product. Though that presumption seems reasonable, one would be wrong to so presume. The various ETF companies are creating yet other leveraged, or inverse, ETFs that would simply track the index for a longer period of time and, therefore, they wouldn't assure their investors that they are guaranteeing a daily match to the index. They might match over some other period of time, like a month or even a year. As a matter of fact, this very phenomenon occurred in the United Kingdom for a brief period of time some number of months ago, and the industry responded exactly the way the American industry appears to be on the verge of responding.

For instance, there is an ETF provider in the United Kingdom known as ETF Securities, and one of its specialties is the creation of commodity ETFs, some leveraged, some not. In the United Kingdom, one has a choice of tracking time periods. For instance, ETF securities offer one-month, one-year, two-year and three-year Brent in the oil market. These different time periods have made possible a variety of trades. Depending on whether or not there is a contango in the oil market, and depending on the slope of the yield curve, one can short or go long a certain time period of Brent and engage in the reverse for another time period. The decline in interest rates in the United Kingdom has reduced the contango, because contango is a reflection of, among other things, cost of carry. That being the case, the shorter-term Brent ETFs have outperformed the longer-term Brent ETFs.

This situation has implications for the United States in a myriad of ways that goes much beyond the ETF market. On June 24th, the SEC will have hearings on new money fund regulations. The object of the regulations is to make money funds safer. Of course, one can't regulate or legislate better credit quality. One can, however, order that the average maturity of a money fund be shorter, and that the money fund hold a greater amount of cash, or one-day money, to provide for liquidity needs. That outcome would not be unreasonable.

Currently, a money fund legally can hold assets with maturities of 397 days. The basic thrust of making money funds safer will have the unintended consequence of reducing the already very low yield of money funds. This effect will occur at the very moment that the ETF industry responds with ETFs using swaps of various tracking time periods. Therefore, it will be possible to create what would loosely be called quasi-money market funds or, perhaps better said, money rate arbitrage funds. In these funds, one could short an ETF with a lower contango and go long an ETF with a higher contango. That strategy would allow an investor, in a not very exposed manner, to earn a rate of return greater

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than the money fund rate, which would be the objective. Since the money fund rate is only a small fraction of 1%, it should not be very difficult to engage in this strategy. One might well ask "What will transpire if and when rates rise?" If and when rates rise, contangos will rise as well, because a contango is merely a reflection, to a certain degree, of the money market. As a generalization, it should be possible to earn a greater so-called money fund rate by engaging in time arbitrage with various time structured ETFs that will be in money funds. Therefore, the SEC is on the verge of inadvertently and unintentionally creating a brand new industry.

It should be noted that this industry will be the second that the SEC will have created in the last two months. Last month, the SEC made possible the creation of the actively managed ETF. Once there are many examples of the actively managed ETF, we need only to rely upon statistics to reach a conclusion that the actively managed ETFs will perform no better than the actively managed mutual funds, i.e. the majority of them will underperform the various benchmark indices. Therefore, a lively industry is on the verge of being created in which market participants can be short the shares of the actively managed ETFs, and be long the ETF shares of the appropriate relative indices.

Two new industries are on the verge of being created, which will lead to an enormous level of heightened prosperity for the ETF industry. Accordingly, there are number of ETF trades that might be sensibly undertaken.

Featured Companies

Direxion Daily Small Cap Bear 3x Shares (TZA)

Direxion Daily Small Cap Bull 3x Shares (TNA)

One might think that to be short an inverse volatile index means that one is effectively long, which is true to a degree, but only to a degree. For example, if one were to short shares of Direxion Daily Small Cap Bear 3x then, of course, if the small cap market rises in value, as it is likely to do, this 3x leveraged ETF will inexorably decline. However, even if the small cap market were to fall, because of all the features of leveraged or inverse indices, this ETF is likely to lose value as well; it just may take longer. On its own, that short sale might be reasonably profitable. Based on my own inquiries with brokerage firms, the cost to borrow such shares appears to be 2% per annum.

Direxion Daily Small Cap Bull 3x Shares (TNA)

iShares Russell 2000 Index (IWM)

A different sort of trade might be in order. One could short Direxion Daily Small Cap Bull 3x, and one could go long the Russell 2000 ETF (IWM). Interestingly enough, the cost to borrow and short the Direxion Daily Small Cap Bull 3x is 7%, which is much more expensive than to borrow the Direxion Daily Small Cap Bear 3x. If one were to

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undertake the trade with the Russell 2000 Index and the Daily Small Cap Bull, the recommended weight would be \$3 long of Russell for each \$1 short of Direxion.

That being the case, the weighted cost of borrowing, given the perspective of the entire sum of the capital being deployed, would be 1.75%. Even 1.75% is not really the true cost of the borrow, because one would be short the index with a fee. That 1.75% cost to borrow is at least somewhat equilibrated by the fee that one is short the Direxion ETF itself. The fee, all else being equal, is one form of the erosion of unit value. It's worthwhile noting that the Small Cap Bull 3x Index, despite the fact that the market has increased in the world of small cap year-to-date, happens to be down 20% year-to-date, which illustrates the virtue of shorting these securities.

Direxion Daily Emerging Markets Bull 3x Shares (EDC) ***iShares MSCI Emerging Markets Index Fund (EEM)***

Another such trade that is worthwhile undertaking would be to short the Direxion Daily Emerging Markets Bull 3x (EDC), and be long shares of the iShares MSCI Emerging Markets (EEM). It would be the exact same ratio as the trade described above: \$3 of EEM long for each \$1 short of EDC. This trade is uniquely interesting, because the emerging markets year-to-date have risen to the extent to which the rise in the underlying shares has more than compensated for the otherwise negative features of the leveraged structure of the ETF itself.

Viewed as an investment year-to-date, the Direxion Daily Emerging Markets Bull 3x (EDC) has a slightly higher performance than the MSCI Emerging Markets Fund (EEM). Of course, if one were long \$3 of EEM for each dollar short of EDC, it's self-evident that this trade would have been profitable thus far. However, given the structure of the leveraged fund, EDC, viewed as an instrumentality on its own, is likely to underperform EEM. One might well ask "What would occur during a decline?" In a decline EDC entirely collapsed relatively to EEM. If there were a decline in the Emerging Markets Index, the Emerging Markets Bull 3x would literally collapse in relation to EEM, though EEM would decline substantially as well.

Direxion Daily Financial Bull 3x Shares (FAS) ***iShares Dow Jones US Financial Sector (IYF)***

Another interesting trade, which has already been profitable and promises to be still more so, would be to sell short the Direxion Daily Financial Bull 3x (FAS) and to be long the iShares Dow Jones US Financial Sector (IYF) in the appropriate weights. The financial stocks year-to-date, especially the larger ones including Bank of America and Citigroup, have enjoyed enormous performance, because not more than 90 days ago, these companies traded at levels suggesting imminent bankruptcy.

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Nevertheless, the Direxion Daily Financial Bull has shown a very poor performance year-to-date, though one would've thought the contrary. The Financial Sector ETF (IYF) has massively outperformed the Daily Financial Bull (FAS). This is a clear example of volatility favoring this trade. Therefore, as a basic principle, the more volatile the underlying asset, the more the leveraged ETF can be shorted. As a generalization, the 3x leveraged variety is better as a short vehicle than the 2x leveraged variety. An interesting sort of trade, which is not explored here, would be to sell short the 3x leveraged variety and be long the 2x leveraged variety. It's not explored here, because both would be losing trades. It's simply that the 3x leveraged variety will have a greater rate of erosion than the 2x leveraged variety. A much more sensibly orchestrated trade would be merely to own an index and be short the leveraged version of an index, which is the trade that's recommended here.

Shorting the VIX

Since volatility favors these trades, and if the logical consequences of the FINRA regulatory notice are sensibly analyzed, there will be many market participants who will seek to take advantage of volatility in this manner. Therefore, by the composition fallacy of economics, people will pay very close attention to volatility in general. That's not to say that it has not escaped their notice already, but there will be much more attention directed towards it.

Stated simply, the composition fallacy of economics is that a reasonable action for one participant is inherently unreasonable if all market participants imitate that action. For example, it might be entirely reasonable that I should save a very large proportion of my income. If, however, everyone else decided to save a very large proportion of their income, the consequences for the economy of that collective action would be very bad. This outcome would be true even though the consequences for capital formation would be quite good if I were to save a portion of my income.

Everything favors balance. In the world of volatility, since the subset of croupiers is in the process of providing market participants with investment vehicles that can produce profitability if volatility is exploited, it must logically follow that many people will try to exploit volatility. Therefore, in so doing, volatility will decline.

In October of 2008, the VIX Index, which is a measure of volatility, reached a high that exceeded 90. No one really believes that it will remain at those levels. For some number of months, the VIX Index has remained at a level of 30, which is a pale when compared to its level in October of 2008, but is actually very high when viewed in its historical context. It is highly likely to decline from this level. It is recommended, therefore, that the VIX Index be sold short as well. As a logical consequence of everything that is occurring at the moment, it is projected that the VIX Index will decline back to its original level of somewhere between 10 and 12. The current VIX level of close to 30 represents a profitable short sale that should be undertaken.

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From the Readers

Q: *Would you comment on the circumstances under which deleveraging produced excellent returns for equity owner?*

A: A significant portion of the U.S. equity market could fall into the category of the Modigliani-Miller Capital Structure Invariance Theorem.³ Companies are valued on an enterprise value basis irrespective of the distinction between debt and equity. American companies have shown a marked preference for leverage over the years, but the market now finds debt financing to be indigestible; therefore, a reversal process has clearly begun. To some extent that process is occurring via the issuance of equity. If it reverses via the issuance of equity, no great profit is made via the Modigliani-Miller Theorem, because debt is paid down with the proceeds of equity issuance.

If, however, the debt is gradually repaid using the proceeds of cash flow, the benefit must inexorably accrue to the equity investor, not the bond investor. By indenture, the bond investor is entitled to repayment of principal on the due date, and interest until the due date arrives. There are many companies that are gradually undertaking to deleverage themselves via cash flow induced debt repayment.

It represents an extraordinary opportunity to the extent that someone should actually start a deleveraging, or Modigliani-Miller, ETF, which would have many functions. If one were merely long such an instrument (if indeed it were to exist), it would have a higher than normal rate of return until such time as the companies were properly leveraged and the balance sheets were sensibly arranged.

It would also have an interesting use as a hedging vehicle, because all market participants have a certain view in relation to debt, either positive or negative. If one believed that the maintenance of a leveraged balance sheet was a recipe for disaster, obviously one would sell short the shares of such an ETF. On the other hand, one may believe that the companies could gradually pay down their debt. If one believed in the Modigliani-Miller Capital Structure Invariance Theorem, such a fund would be an interesting investment vehicle.

Of course, one could merely assert that the leveraged companies, via debt pay-down would outperform the unleveraged companies. In that case, one could create a leveraged equity vehicle to have a, so to speak, Modigliani-Miller-related rate of return by selling short the ETF that contained unleveraged companies and being long the ETF that contained leveraged companies.

³ The Modigliani-Miller Capital Structure Invariance Theorem basically states that, under certain assumptions, the enterprise value of a company is invariant to changes in its capital structure.

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One needs to be very careful in doing so, however, because an ETF owning shares of unleveraged companies could still be composed of companies that have otherwise very high returns on equity. Microsoft might be such an example. An ETF of that type would need to be very carefully considered and structured. Nevertheless, I do believe that there is an enormous opportunity for creating a high rate of return by investing in the shares of companies that are deleveraging à la the Modigliani- Miller Theorem.

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[Appendix A is in pdf form and was added to the pdf of this report, as was the FINRA report, which would be in the position of Appendix D]

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APPENDIX B

Money Manager Index

From Jan 1983 to June 2009

														Annualized return		
Year	Jan	Feb	Mar	Apr	May	Jun	Jul	Aug	Sep	Oct	Nov	Dec	Yr. End	Index	Yearly return	(since inception)
1983								1.00	0.81	0.76	0.87	0.75	1983	0.75	(60.5)%	(50.2)%
1984	0.75	0.71	0.70	0.66	0.67	0.67	0.61	0.83	0.79	0.76	0.67	0.65	1984	0.65	(13.5)%	(26.5)%
1985	0.92	0.93	0.99	0.95	1.20	1.30	1.32	1.38	1.28	1.50	1.86	2.02	1985	2.02	211.8%	33.7%
1986	2.46	2.78	2.47	2.31	2.36	2.33	2.03	2.23	1.98	2.37	2.34	2.34	1986	2.34	15.9%	28.2%
1987	3.21	3.27	3.16	2.55	2.37	2.30	2.39	2.47	2.22	1.56	1.44	1.52	1987	1.52	(35.0)%	9.9%
1988	1.80	1.87	1.78	1.79	1.69	1.94	1.92	1.96	2.01	1.97	1.95	2.07	1988	2.07	36.0%	14.3%
1989	2.42	2.37	2.54	2.63	2.64	2.64	2.93	3.12	3.07	3.05	3.23	3.26	1989	3.26	57.8%	20.2%
1990	3.12	3.15	3.53	3.06	3.47	3.45	3.30	2.70	2.68	2.40	2.52	3.02	1990	3.02	(7.3)%	16.1%
1991	3.08	3.49	3.70	3.68	3.71	3.61	3.86	4.05	4.07	4.69	4.47	5.72	1991	5.72	89.4%	23.0%
1992	5.76	5.61	5.30	5.12	4.98	4.99	5.93	6.06	6.19	6.56	7.25	7.36	1992	7.36	28.6%	23.6%
1993	8.06	8.04	8.20	7.94	8.15	8.57	9.05	10.00	9.99	9.31	8.97	8.90	1993	8.90	21.0%	23.4%
1994	9.52	8.73	8.05	7.85	7.81	7.53	7.66	8.31	8.15	8.52	7.88	7.95	1994	7.95	(10.6)%	19.9%
1995	7.74	8.38	8.72	8.77	9.20	9.35	9.93	10.78	11.22	10.53	10.89	10.40	1995	10.40	30.8%	20.8%
1996	11.12	11.50	11.33	11.62	11.86	12.53	11.91	12.36	13.32	14.03	14.42	15.02	1996	15.02	44.4%	22.4%
1997	16.04	16.81	15.32	17.27	18.42	20.29	22.28	21.39	25.31	24.95	24.95	25.50	1997	25.50	69.8%	25.2%
1998	25.67	29.00	29.89	30.60	28.90	30.44	27.67	21.33	21.74	25.16	27.27	25.41	1998	25.41	(0.4)%	23.3%
1999	26.00	23.71	23.92	26.77	28.94	29.74	28.78	26.74	25.89	27.73	28.54	30.55	1999	30.55	20.2%	23.2%
2000	31.07	31.19	36.01	35.60	35.20	40.32	43.58	45.75	45.62	48.69	44.05	49.84	2000	49.84	63.1%	25.2%
2001	50.23	46.41	44.27	46.96	48.90	49.98	50.67	49.70	46.47	44.81	48.04	51.91	2001	51.91	4.2%	23.9%
2002	53.62	53.74	55.11	52.52	52.83	50.48	42.58	44.92	41.54	42.66	45.78	43.17	2002	43.17	(16.8)%	21.4%
2003	42.72	41.18	42.36	45.98	49.02	50.71	53.47	53.97	53.46	56.12	55.83	58.49	2003	58.49	35.5%	22.1%
2004	64.38	65.08	64.63	61.68	60.86	62.30	58.71	64.08	65.73	68.86	73.53	78.16	2004	78.16	33.6%	22.6%
2005	76.46	77.94	74.06	72.83	77.02	80.25	83.59	83.07	86.03	89.19	96.58	97.35	2005	97.35	24.6%	22.7%
2006	107.62	111.44	110.75	111.88	101.89	100.61	100.62	104.98	114.61	116.64	113.78	118.05	2006	118.05	21.3%	22.6%
2007	125.73	123.77	122.62	127.58	133.57	134.68	126.61	124.07	133.57	148.09	135.13	135.56	2007	135.56	14.8%	22.3%
2008	127.53	115.76	115.94	121.58	130.51	115.68	119.94	120.55	109.69	72.70	62.95	67.91	2008	67.91	(49.9)%	18.1%
2009	57.51	51.76	65.63	79.49	85.67	90.79							2009	90.79	33.7%	19.0%

Name	Amount Invested
Affiliated Manager	\$ 22,947
Alliance	\$ 7,633
BlackRock	\$ 23,205
Waddell & Reed	\$ 27,513
Eaton Vance	\$ 2,641
T. Rowe Price	\$ 2,423
Franklin resources	\$ 908
Legg Mason	\$ 1,000
Federated Inv	\$ 26,381

Name	Amount Invested
Pzena Investment Mgt	\$ 122,426

THE DEVIL'S ADVOCATE REPORT COMPENDIUM

APPENDIX C

International Money Manager Index

From Jan 1983 to June 2009

														Annualized return		
Year	31-Jan	28-Feb	31-Mar	30-Apr	31-May	30-Jun	31-Jul	31-Aug	30-Sep	31-Oct	30-Nov	31-Dec	Yr. End	Index	Yearly return	(since inception)
1986											1.00	1.02	1986	1.02	10.0%	10.0%
1987	1.25	1.37	1.48	1.48	1.37	1.33	1.39	1.40	1.33	0.81	0.76	0.73	1987	0.73	(27.7)%	(23.3)%
1988	0.75	0.92	1.02	0.95	0.80	0.89	0.88	0.82	0.86	0.88	0.89	0.93	1988	0.93	26.4%	(3.4)%
1989	1.03	1.02	1.06	1.17	1.19	1.18	1.25	1.16	1.17	1.20	1.21	1.28	1989	1.28	37.8%	8.1%
1990	1.24	1.24	1.18	1.19	1.22	1.24	1.26	1.26	1.23	1.24	1.25	1.33	1990	1.33	3.7%	7.0%
1991	1.34	1.52	1.56	1.58	1.57	1.47	1.52	1.64	1.81	1.89	1.94	1.92	1991	1.92	44.8%	13.5%
1992	2.01	1.93	1.88	2.14	2.19	2.13	2.08	1.99	1.95	1.77	1.76	1.96	1992	1.96	1.9%	11.5%
1993	1.98	2.03	2.20	2.39	2.42	2.45	2.54	3.05	3.01	3.07	3.01	3.30	1993	3.30	68.7%	18.1%
1994	3.72	3.39	3.17	3.04	2.99	2.89	3.01	3.14	3.13	3.19	3.15	3.15	1994	3.15	(4.7)%	15.1%
1995	3.07	3.12	3.28	3.41	3.56	3.59	3.87	3.76	3.76	3.77	3.70	3.73	1995	3.73	18.6%	15.4%
1996	3.76	3.85	3.70	3.79	3.96	3.90	3.75	3.96	4.16	4.47	4.90	4.86	1996	4.86	30.3%	16.8%
1997	5.11	5.37	4.99	4.96	5.43	5.94	6.57	6.32	7.45	7.24	6.80	7.19	1997	7.19	47.9%	19.3%
1998	7.12	8.05	8.78	9.25	8.95	8.74	8.91	6.67	6.08	7.01	7.51	7.71	1998	7.71	7.3%	18.3%
1999	7.99	8.21	8.68	9.07	8.71	8.61	8.63	8.43	8.47	8.79	9.80	10.79	1999	10.79	39.9%	19.8%
2000	11.23	12.27	13.95	13.50	13.73	15.39	15.85	16.82	17.07	16.31	14.43	16.76	2000	14.43	33.8%	20.7%
2001	17.42	15.88	13.46	15.14	15.84	15.15	14.21	13.61	10.77	11.43	13.90	14.12	2001	14.12	(2.2)%	19.1%
2002	14.74	13.78	15.09	15.11	16.38	14.14	12.92	12.10	11.23	11.06	11.33	10.50	2002	10.50	(25.6)%	15.7%
2003	10.18	9.52	9.69	10.62	12.17	13.04	13.98	15.38	16.67	17.88	18.16	18.07	2003	18.07	72.1%	18.4%
2004	20.00	22.41	29.98	35.46	26.68	30.80	25.37	25.20	23.67	23.34	27.56	31.48	2004	31.48	74.2%	20.9%
2005	32.19	32.57	31.88	27.79	27.36	29.05	30.38	31.49	33.39	32.24	32.95	37.18	2005	37.18	18.1%	20.8%
2006	41.01	40.97	43.69	46.45	42.39	41.58	40.60	43.32	43.55	43.70	44.58	49.38	2006	49.38	32.8%	21.3%
2007	50.95	51.18	53.59	56.09	58.16	56.37	53.90	48.65	50.96	57.03	48.21	45.75	2007	45.75	(7.3)%	19.8%
2008	38.71	39.71	38.59	40.18	39.25	35.10	34.59	33.33	26.09	18.72	14.50	15.79	2008	15.79	(65.5)%	13.3%
2009	14.62	13.24	14.96	19.63	22.82	23.73							2009	23.73	50.3%	15.0%

<u>Name</u>	<u>Amount Invested</u>	<u>Name</u>	<u>Amount Invested</u>
IGM FINANCIAL INC	\$1,000	HENDERSON GROUP PLC	\$14,447
F&C ASSET MANAGEMENT PLC	\$1,203	RAB CAPITAL PLC	\$24,603
INVESCO PLC (PREVIOUSLY AMVESC	\$1,357	AZIMUT HOLDING SPA	\$21,908
SCHRODERS PLC	\$1,208	EVEREST FINANCIAL GROUP LIMITED	\$23,437
RATHBONE BROTHERS PLC	\$1,208	CHARLEMAGNE CAPITAL LTD	\$36,848
ABERDEEN ASSET MGMT PLC	\$1,208	PARTNERS GROUP-REG	\$36,848
CI FINANCIAL INCOME FUND	\$2,585	INVISTA REAL ESTATE INV MNGT	\$36,589
MAN GROUP PLC	\$2,862	ASHMORE GROUP PLC.	\$36,688
AGF MANAGEMENT LTD-CL B	\$3,343	BLUEBAY ASSET MANAGEMENT/UNI	\$37,469
SPARX GROUP CO LTD	\$11,762		